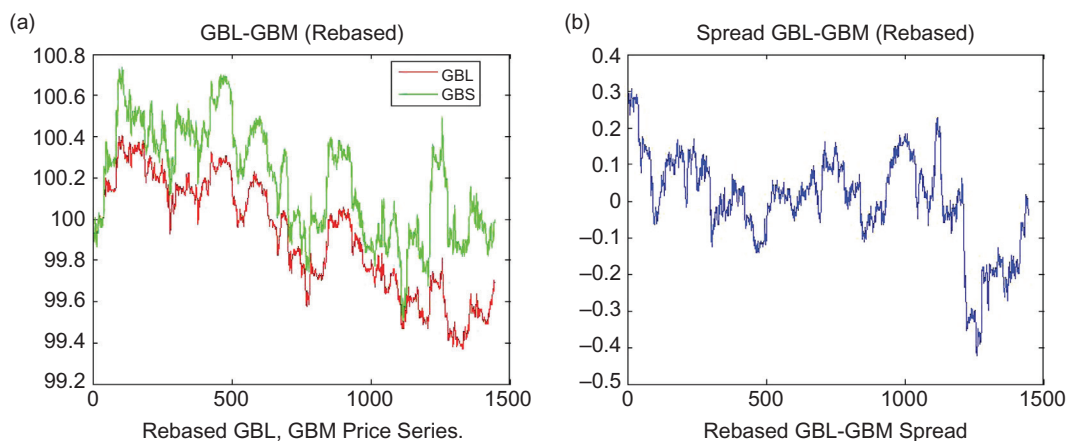




■ **Figure 13.2** Pairs Trading: EUREX Contracts.

Table 13.1 Pairs Trading: ADF Tests

	ADF t-stat	5% critical
GBL	−2.692	−3.458
GBM	−1.477	−3.458
Spread(εt)	−3.128	−2.871

Source: Kakoullis, 2010

Determined by their respective t-statistic. Final parameters are given in Table 13.2

Table 13.2 Pairs Trading: VECM Spread Model

	ΔGBL^{reb}		ΔGBM^{reb}	
	Coefficients	t-stat	Coefficients	t-stat
γ_1	−0.027	−3.63	—	—
γ_2	—	—	0.014	−3.06
$\Delta GBL^{reb}(-1)$	−0.096	−1.76	—	—
$\Delta GBM^{reb}(-1)$	0.159	1.90	—	—

Source: Kakoullis, 2010